

**BEFORE THE
FEDERAL MARITIME COMMISSION
800 North Capitol Street, N.W.
Washington, D.C.**

D.F. YOUNG, INC.,	:	
Complainant,	:	
v.	:	
NYK LINE (NORTH AMERICA), INC.,	:	DOCKET NO.: 16-02
Respondent.	:	

**COMPLAINANT D.F. YOUNG, INC.’S MOTION FOR LEAVE TO REPLY TO
RESPONDENT’S OPPOSITION TO COMPLAINANT’S MOTION TO RECOGNIZE THE
TERMS OF RESPONDENT’S TARIFF 156 AND BILLS OF LADING,
OR, IN THE ALTERNATIVE, MOTION TO RE-OPEN AND REMAND
PURSUANT TO FMC RULE 230**

A. RELIEF REQUESTED BY THIS MOTION

Complainant D.F. Young, Inc. (“Complainant”) moves for leave to file the attached Reply in Support of its Motion to Recognize the Terms of Respondent, NYK Line’s (N.A.), Inc.’s Tariff 156, and Bills of Lading, or, in the alternative, Motion to Re-Open and Remand Pursuant to FMC Rules 230 (hereinafter referred to as the “Motion for Leave to Reply,” or the “Motion.”)

B. THE RULES

1. Complainant’s Motion for Leave to Reply is a non-dispositive motion within the meaning of Rule 69(g).

2. The Rule governing non-dispositive motions (Rule 71(c)) states that:

The moving party may not file a reply to a response to a non-dispositive motion unless requested by the Commission or presiding officer, or upon a showing of extraordinary circumstances.
§ 502.71(c).

C. BASIS FOR MOTION

3. “Extraordinary circumstances” means “out of the ordinary factors” or “[f]actors . . . not usually associated with a particular thing or event . . .” BLACK’S LAW DICTIONARY, p. 568 (6th ed. 1991).

4. This is an extraordinary circumstance in that Respondent’s opposition papers make material misrepresentations going to the merits of this case that Complainant contests. It is not just Complainant’s Motion for Leave to Reply, but Complainant’s defense of the claims that would be prejudiced by allowing Respondent’s material misstatements to go unchallenged.

5. Those material misrepresentations are addressed in Complainant’s attached Reply in Support of D.F. Young, Inc.’s Motion to Recognize the Terms of Respondent’s Tariff 156 and Bills of Lading, or, in the Alternative, Motion to Re-Open and Remand Pursuant to FMC Rules 230(a) and (d).

D. RULE 71(a) STATEMENT

6. Complainant’s counsel caused a copy of this Motion to be sent to Respondent’s counsel on October 30, 2017, asking if Respondent consents to the relief requested herein. Respondent’s counsel responded that he opposes the Motion.

E. REQUEST FOR RELIEF

7. Complainant asks that its Motion for Leave to Reply be granted.

Respectfully submitted,

LAW OFFICES OF THOMAS J. WAGNER, LLC

By: /s/ Thomas J. Wagner

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Date: October 30, 2017

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**COMPLAINANT D.F. YOUNG, INC.’S REPLY IN SUPPORT OF ITS MOTION TO
RECOGNIZE THE TERMS OF RESPONDENT’S TARIFF 156 AND BILLS OF LADING,
OR, IN THE ALTERNATIVE, MOTION TO RE-OPEN AND REMAND
PURSUANT TO FMC RULE 230**

Complainant, DFY Young, Inc. (“DFY”), by and through its undersigned counsel, replies to Respondent NYK Line (North America), Inc.’s (“NYK”) Opposition to Complainant’s Motion Filed September 6, 2017 to Recognize the Terms of Respondent’s Tariff 156 and Bills of Lading, or, in the Alternative, Motion to Re-Open and Remand Pursuant to FMC Rule 230 (the “Motion”), as set forth below.

**I. NYK MISCHARACTERIZES THE NATURE OF DFY’S MOTION AND
MISCONSTRUES DFY’S INTENDED EXHIBIT “A.”**

NYK intentionally mischaracterizes the nature of DFY’s Motion as “seeking to add to the record on review,” in order to reframe the argument before the Court. DFY is not seeking to add to the record on review, and this Motion is not made pursuant to 46 CFR §502.216, as suggested by NYK. Instead, DFY is seeking an Order that **the record reflects** the terms of NYK’s Tariff 156 and Bills of Lading, or in the alternative, to re-open and remand the proceeding pursuant to FMC Rule 230 so that Tariff 156’s terms may be entered into the record.

The distinction is that Tariff 156 and the terms of NYK Bills of Lading set forth in Tariff 156 are not new evidence; or even new documents. Rather, Tariff 156 in its entirety should be part of the record because they are public documents. See 46 CFR §502.226, which provides for judicial notice of a public document simply by reference from the parties. See also 46 CFR §502.206, which provides for incorporation by reference of public documents.

DFY is primarily seeking to correct a clerical error and clarify the record by substituting Exhibit “A,” which DFY intended to be NYK’s Response to Request for Admissions Nos. 1-2 and the terms of Tariff 156.¹ It is undisputed that in NYK’s Response to Request for Admissions (“Response to RFA”), NYK admitted that “on March 1, 2015, Respondent had a tariff published or otherwise made available to the public which was solely applicable to Ro Ro Shipments, i.e., Tariff 156,” and that Respondent has not amended, revoked, or otherwise changed Tariff 156. See NYK’s Response to RFA at Nos. 1 and 2 (Exhibit “A” to Motion). DFY’s intended Exhibit “A” included relevant portions of Tariff 156 in order to demonstrate the Tariff document that NYK admits to, that both parties concede is the relevant Tariff and that both parties have referred to throughout the litigation. It is telling that NYK would not want their Tariff terms to be in the record here.

NYK makes the petty argument that because Tariff 156 was not attached to NYK’s Response to RFA and because it was not separately identified, that it was not intended to be part of DFY’s Exhibit “A,” as DFY asserts. NYK’s argument is speculative and false. Only DFY’s counsel knows which documents it intended to become part of Exhibit “A” and how it intended to identify same. DFY’s

¹ As set forth in the Motion, due to a clerical error, the incorrect Exhibit “A” was attached to DFY’s Motions for and in Opposition to Respondent’s MSD filings (DFY MSD filings, or “MSD”). DFY’s MSD incorrectly attached NYK’s Answers to Interrogatories as Exhibit “A,” when it should have been NYK’s Responses to DFY’s Requests for Admissions with Tariff 156.

counsel has stated that Exhibit “A” was supposed to include NYK’s Response to RFA Nos. 1 and 2, “along with relevant portions of NYK Tariff 156.”² See Motion at ¶5. It made sense for DFY to include Tariff 156 with NYK’s Response to RFA, which admitted that Tariff 156 was applicable.

Significantly, NYK does not dispute that the document attached as Tariff 156 is correct. In fact, the Tariff 156 documents attached to Exhibit “A” were part of NYK’s own document production and include NYK’s bates stamp numbers. There is no unfair surprise or prejudice here.

II. TARIFF 156 INCLUDES AND INCORPORATES BY REFERENCE THE BILLS OF LADING, AND PARAGRAPH 4 THEREOF IS RELEVANT.

NYK attempts to create confusion where there is none by “clarifying DFY’s Wording” when DFY refers to NYK’s Bills of Lading and Tariff 156 (see NYK’s Opposition to Motion at Section A). Tariff 156 is a public, published document, which includes the terms of NYK’s RO-RO Bills of Lading - spelled out in document bates-stamped “NYKS 54974 – 54989” in the correct Exhibit “A”. Those same Bill of Lading terms set forth in Tariff 156 have been used by NYK since 2014. (see Motion Exhibit A on page entitled “NYK Shipped Waybill Clause (’14 Amendment), 1/19 through page 4/19). Those same Bill of Lading Terms set forth in Tariff 156 are incorporated by both parties and the Bill of Lading in DFY’s Motion For Summary Decision (DFY’s MSD, Exhibit “P”).

Furthermore, there is no merit to NYK’s argument that Paragraph 4 (Carrier’s Tariff) of Tariff 156 (NYK 54975) is irrelevant and should not be “added to the record.” NYK’s argument overlooks the fact that Tariff 156, including Paragraph 4, was part of DFY’s intended Exhibit A. Tariff 156 is also public document and should already be part of the record, see Section I, *infra*.

² Contrary to NYK’s dizzying assertion, DFY never said that NYK’s Response to Request for Admissions included a copy of the relevant portions of Tariff 156. See Motion at §5. DFY said that the correct Exhibit “A” contained NYK’s admission, along with relevant portions of NYK Tariff 156. Regardless, it is undisputed that the portion of NYK Tariff 156 – including the terms of NYK Bills Of lading - attached thereto is correct and was produced by NYK as part of its document production.

Paragraph 4 of Tariff 156 states that “The terms of the Carrier’s applicable Tariff are deemed to be incorporated herein . . .” This paragraph is relevant, because the Initial Decision determined that NYK’s Tariff terms did not apply, despite the fact that they were incorporated into the Bills of Lading. See DFY’s Exceptions to Initial Decision, including, but not limited to, Exception No. 7.³

III. THE MOTION IS NOT BARRED BY RULE 71(a), AND IT IS TIMELY.

NYK argues that DFY’s Motion should be denied because DFY failed to comply with 46 CFR §502.71(a), which imposes a duty to confer with opposing counsel prior to filing a non-dispositive motion as defined in 46 CFR §502.69(g). NYK has overlooked the fact that DFY’s Motion is made pursuant to 46 CFR §502.230, which discusses the procedure on a motion for the commission to re-open a proceeding after initial decision by the presiding officer. Rule 230 does not impose a requirement upon the movant to confer with opposing counsel prior to filing a motion to re-open a proceeding.

In addition, there is no merit to NYK’s argument that the Motion is too late because the record may only be supplemented before the initial decision is issued pursuant to Rule 216. As set forth above (see Section I, at ¶1, *infra*), DFY is not moving to supplement the record and Rule 216 is inapplicable. The Motion is made pursuant to Rule 230, which expressly permits the Commission to re-open a proceeding after an initial decision was made by a presiding officer but before the Commission issues decision, which is the present stage of this case. 46 CFR §502.230(a). The Motion is therefore timely pursuant to Rule 230.

³ See also DFY’s Exceptions to the Initial Decision at No. 8, which argued that the Decision erroneously concluded that the “silence in the agreement” (the Power of Attorney, “POA”) made the POA ambiguous. There was no claim before the Initial Decision that the POA was ambiguous; it was an integrated agreement. In answer to Judge Wirth’s new interpretation, it is appropriate for DFY to Except to that ruling and show that the POA incorporates the NYK Tariff through NYK Bill of Lading Terms.

For similar reasons, NYK's argument that the Motion is too late because the record cannot be changed at this stage and that the Commission is bound by the record before the ALJ is defective. NYK overlooks the fact Rule 230 is intended to provide a mechanism to enable the Commission to re-open a proceeding for the purpose of taking further evidence after an initial decision has been made by a presiding officer. See 46 CFR §502.230(a). See also Section I, *infra*, regarding DFY's motion to clarify, not supplement, the record.

IV. GOOD CAUSE EXISTS TO GRANT DFY'S MOTION

There is no merit to NYK's contention that there is insufficient reason to grant DFY's Motion. The Motion is important because the Initial Decision indicates that Judge Wirth did not review any of the fundamentally accepted terms of Tariff 156, which led to an incorrect decision. See Motion at paragraphs 8 through 24 incorporated by reference. The evidence that DFY wishes to be recognized and considered as part of the record pursuant to Rules 230, 226, and 206⁴ would have been part of the record had there not been a clerical error in submitting Exhibit A. This evidence eliminates the Initial Decision's basis for denying DFY's MSD and granting NYK's. *Id.* at 31. Consideration of NYK's Tariff 156 and the terms of its Bill of Lading are material evidence and consideration will most likely lead to a material change in the Decision here. *Id.* at 35.

NYK asserts that DFY is making new arguments in its Motion, but DFY's Motion makes the same arguments that it makes in its Exceptions to the Decision along with argument on why Judge Wirth's ruling on the meaning of the POA is incorrect.

⁴ DFY accidentally referred to Rule 161 in its Rule 230 Motion – that Rule is now denominated as Rule 206.

There is also no merit to NYK's contention that there must be a material change in the law or facts after the Initial Decision in order to justify re-opening a case under 46 CFR §502.230. NYK relies upon *Crocus Investments, LLC v. Marine Transp. Logistics*, Docket No. 15-04, p. 8 (03/06/2017), but that case is distinguishable because it relied upon the outdated version of Rule 230, which, under subpart (a), required that the moving party explain the grounds that require re-opening the proceeding, "including material changes of fact or of law alleged to have occurred since the conclusion of the last hearing."

The new Rule 230, effective April 3, 2017, does not mandate a showing that a material change in fact or law has occurred since the conclusion of the last hearing. The new Rule 230(b) states that the motion "... will set forth the grounds requiring re-opening the proceeding, including material changes of fact or law alleged to have occurred." Hence, the change in fact or law could have occurred at any time. The present case is a bit of a hybrid because the fact that has changed is that DFY has discovered that due to a clerical error, the incorrect Exhibit "A" was attached to DFY's MSD.

Additionally, DFY submits that this is a situation where material change in law or the facts are not required in order to justify the re-opening of a case pursuant to Rule 230. A case which exemplifies the fact that the Commission does not require a material change in the law or facts in order to re-open a decision pursuant to Rule 230 is *Verucci Motorcycles, LLC v. Senator International Ocean, LLC*, 2008 FMC LEXIS 27, Federal Maritime Commission May 7, 2008 (Docket No. 06-05). In *Verucci*, the Commission re-opened a proceeding pursuant to Rule 230 after a complaint was dismissed after the complainant's failure to respond to an Order to Show Cause, despite the fact that there was no change in the law or the facts to justify re-opening the case. The Commission stated that it "traditionally has sought to 'do equity' rather than permit a party to be cut off from an opportunity to be heard due to a rigid or mechanical application of the Commission's rules." In that case, the Commission accepted a

litigant's excuses for repeated late filings and failure to file pleadings, despite the fact that the litigant violated the Rules. The Commission also explained in its reasoning that the decision would not affect the adverse party's ability to raise any substantive defense to which it may be entitled.

Here, as in *Verucci*, the Motion should be granted because DFY has presented sound, understandable and equitable reasons to justify re-opening the case or clarifying the record, and granting the Motion will not affect NYK's ability to raise any substantive defense. In fact, NYK will experience no prejudice at all should DFY's Motion be granted.

CONCLUSION

For the reasons set forth above and in the Motion, DFY petitions the Commission to order that the correct Exhibit "A" be considered to be part of the record of this proceeding and/or to simply recognize that those terms and the language of Tariff 156 are part of the record when considering DFY's Exceptions.

Alternatively, DFY respectfully requests that the Commission reopen this proceeding in order to admit the evidence of the terms of NYK's Bills of Lading, its Tariff 156 and Tariff 156 applicability language pursuant to FMC Rule 230.

Respectfully submitted,

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Date: October 30, 2017

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CERTIFICATE OF SERVICE

The undersigned certifies that on the date noted below he served a true and correct copy of the foregoing Complainant D.F. Young, Inc.'s "Motion for Leave to Reply to Respondent's Opposition" via U.S. First Class Mail and email on the following at the addresses provided:

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Respectfully submitted,

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